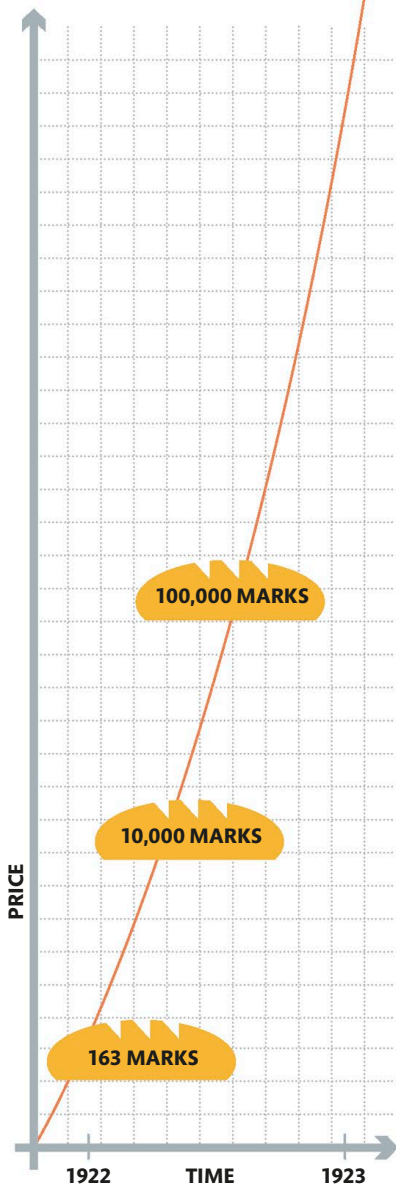




200,000,000,000
MARKS

HYPERINFLATION



7. Hyperinflation sets in and prices rise faster than people can spend their money. In 1922, a loaf of bread cost 163 marks—by November 1923 this had risen to 200,000,000,000 marks.

STOPPING HYPERINFLATION

Credibility

Because hyperinflation is based on expectations about the future, with people believing prices will carry on rising rapidly, it can also be halted rapidly (in theory). If the government can credibly commit to ending inflation (for example, by introducing a new currency and tight rules on issuing it), it can stop hyperinflation with limited costs. However, fulfilling that commitment can be challenging, particularly for weak governments.

Dictatorship

One controversial argument is that because hyperinflation results from weak governments, ending hyperinflation requires a strong government—even one that ends democracy. Economist Thomas Sargent has made this argument for central Europe in the 1920s, where a series of hyperinflationary episodes were halted by authoritarian governments.

460 septillion
the number of Hungarian pengő
to 1US\$ at the height of
hyperinflation in July 1946

NEW GOVERNMENT

8. A new government is formed in November 1923, with a new president of the German central bank. The central bank stops paying government debts with printed money. A new currency, the Rentenmark, is introduced, replacing the near-worthless paper mark. The Rentenmark is backed by mortgages on land, while the new central bank president promises to fix its exchange rate against the dollar. These measures restore public confidence in the currency. Some of Germany's war debts are written off and reparations reduced in 1924–25. The situation is stabilized.

